

Samsung Electro-Mechanics | Asia Pacific

MLCC – Pricing Power Is Coming, New Top Pick

WHAT'S CHANGED		
Samsung Electro-Mechanics (009150.KS)	From	To
Price Target	W2,560,000	W2,620,000
Top Pick Added	005930.KS	009150.KS

Our latest checks show MLCC pricing likely to be significantly stronger than we thought while ABF demand continues to strengthen, driving our margin and EPS estimates even further above consensus. Moving to Top Pick.

Reiterating our OW rating on SEMCO and moving to Top Pick: Our recent MLCC checks have picked up sustained hyperscaler demand strength driving non-AI customer anxiety and elongating customer visibility. This means firmer MLCC pricing in 2H26 and 2027, on top of an overall improving ABF end-market. And yet investors still underappreciate the fundamental strength that this environment will translate into for SEMCO, trading at just 24x our new 2027e EPS – 40% above consensus. Simply put, MLCCs are perhaps the new investment highly levered to data center spending among the "AI picks and shovels."

AI exposure and the S-curve: In an S-curve, growth of deployment rises rapidly after the tipping point. The operating profile enjoys long-term improvement with AI penetration from multilayer core ABF and MLCC, driving margins from substantial content growth. For SEMCO, revenue growth is inflecting, driven by a structural change from its AI-related revenue more than doubling to 31% of the mix in 2027e (20% in 2026), driving a significant rise in earnings growth in 2026-28e. This shift towards higher-margin AI products should support sustained earnings growth worth more than cyclical earnings growth – and hence, higher valuation.

Glass substrates a new product cycle from 2028, silicon capacitors and ABF pricing cycle proving stronger and earlier than expected: SEMCO's multiple order win for AI chip substrates from the US ASIC player along with the ramp-up of future plant in Vietnam by 2028 are set to drive an extended period of strong earnings growth and ABF revenue potentially up 4-5x by 2030. Complexity is driving SEMCO's share gains as new ASIC chips feature dramatic increases in size/layer count, multi-chiplet designs, and a trend toward embedded array of MLCC with ABF to achieve better power integrity.

Valuation upside on top of earnings: With the AI computing opportunity and early cycle recovery, earnings expectations appear to be lagging significantly based on the current outlook – we think the stock will look to discount accelerating EPS estimate revisions. 2028e P/E at 18x is below peak level of 30x despite stronger EPS growth. Our new W2.6mn price target implies 33x 2028e P/E. We keep our bull case value at W3mn; we cut our bear case value to W1.35mn to reflect heightened volatility.

MORGAN STANLEY & CO. INTERNATIONAL PLC+

Shawn Kim

Equity Analyst

Shawn.Kim@morganstanley.com

+44 20 7677-1018

MORGAN STANLEY ASIA LIMITED+

Duan Liu

Equity Analyst

Duan.Liu@morganstanley.com

+852 2239-7357

MORGAN STANLEY & CO. INTERNATIONAL PLC+

Cindy Huang

Equity Analyst

Cindy.Huang@morganstanley.com

+44 20 7425-2915

MORGAN STANLEY & CO. INTERNATIONAL PLC, SEOUL BRANCH+

Ryan Kim

Equity Analyst

Ryan.G.Kim@morganstanley.com

+82 2 399-4939



Samsung Electro-Mechanics (009150.KS, 009150 KP)

Top Pick

S. Korea Technology S. Korea				
Stock Rating	Overweight			
Industry View	Attractive			
Price target	W2,620,000			
Up/downside to price target (%)	113			
Shr price, close (Aug 6, 2026)	W1,229,000			
52-Week Range	W2,417,000-153,200			
Sh out, dil, curr (mn)	76			
Mkt cap, curr (bn)	W92,848			
EV, curr (bn)	W89,781			
Avg daily trading value (bn)	W495			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (W)**	9,196	22,407	56,728	80,243
Prior EPS (W)**	-	23,555	55,477	78,349
EPS (W)\$	8,890	19,570	39,131	55,831
Revenue, net (W bn)	11,314	14,875	23,316	32,325
EBITDA (W bn)	1,825	3,553	7,113	10,045
ModelWare net inc (W bn)	695	1,693	4,286	6,062
P/E	27.7	54.8	21.7	15.3
P/BV	2.1	8.7	6.3	4.5
RNOA (%)	8.9	27.8	50.6	48.8
ROE (%)	7.9	18.4	39.9	40.9
EV/EBITDA	8.9	25.5	12.8	9.0

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Div yld (%)	0.9	0.2	0.2	0.3
FCF yld ratio (%)	12.3	(0.8)	(0.0)	1.5
Leverage (EOP) (%)	(25.9)	(15.2)	(9.8)	(13.1)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

S = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

Business update

Where there is change, there is opportunity: Often where there is change, there is unrecognized opportunity – and if one can recognize that change before the market, then outperformance can be sizable. For SEMCO, there is an incredible amount of change underway and split into two buckets for the company:

1. High unit volume growth or top-line growth from AI servers, disrupting the existing MLCC and ABF markets in some way; and
2. Life cycle change via embedded substrates, silicon capacitors and its upcoming glass substrates – where the company has figured out how to grow again and reinvent itself.

SEMCO's stock narrative is changing, MLCC scarcity will change over time, and we are early in the cycle on this change. Thus, this is our new Top Pick.

MLCC – from spot tightness to multi-year lock-in

Headline price hikes have arrived: Through 1H26 the industry moved in sequence: Murata leading on AI-server and high-end automotive grades, Taiyo Yuden raising across its range including consumer, Yageo and Walsin following, and SEMCO suspending agent quotations ahead of its own adjustments. Channel checks show distributor pricing up multiples from trough levels on certain specifications, though we would treat the most extreme spot moves as trader hoarding rather than end demand.

The signals that matter:

- Leading suppliers have removed volume discounts and stopped accepting orders at prior-period prices,
- High-end lead times exceed 20 weeks,
- Supply-chain inventory remains lean after two years of destocking, and
- Book-to-bill at the three high-end leaders has reached its highest level since the pandemic.

Contract pricing is now institutionalized in long-term agreements with roughly 10 of SEMCO's customers.

Market structure is why pricing sticks: The high-end AI MLCC market is effectively a Japanese-Korean duopoly. Murata and SEMCO together hold around 85%; across the total MLCC market Murata leads at roughly 41%, and SEMCO is the clear number two. High-capacitance, low-ESL parts for AI accelerators require hundreds to over a thousand dielectric layers with near-zero defects and face strict customer qualification — the barrier preventing a repeat of 2017-18, when shortage invited entry and the cycle self-corrected. Chinese commodity producers are entering domestic server supply chains, and CCTC is the name to watch, but qualification timelines make this a medium-term rather than near-term risk to the premium tier.

Supply cannot close the gap inside this cycle: On disclosed schedules, Murata's incremental high-end capacity, SEMCO's expansion in the Philippines, and Taiyo Yuden's

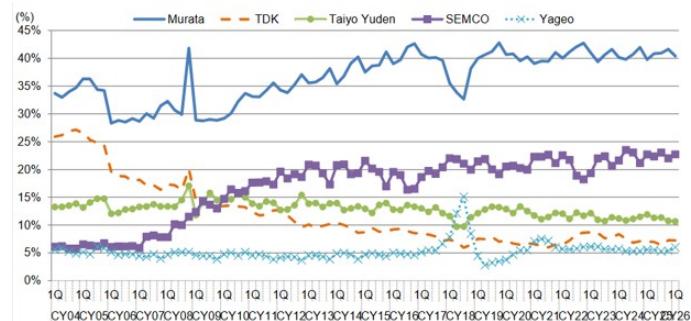
Korean server capacity will all arrive in 2027 or later; only SEMCO's Tianjin high-capacitance conversion contributes materially before then. Producers are also disciplined by choice, most targeting output growth of roughly 10-15% p.a. and requiring sustained pricing upside before committing to more. Against AI server MLCC demand growth of the magnitude we forecast, that discipline is why the shortage persists rather than being resolved.

SEMCO's angle – three AI vectors plus embedding: Management aligns its roadmap to three AI bottlenecks:

1. **Computing** – where accelerators drawing hundreds of amperes at sub-volt core voltages need ultra-high capacitance in small case sizes;
2. **Power** – as architectures move from 12V and 48V toward 800V and rack power approaches 120kW, requiring vertical power delivery; and
3. **Networking** – where 800G and 1.6T links with co-packaged optics demand stable capacitance and low loss at elevated temperatures.

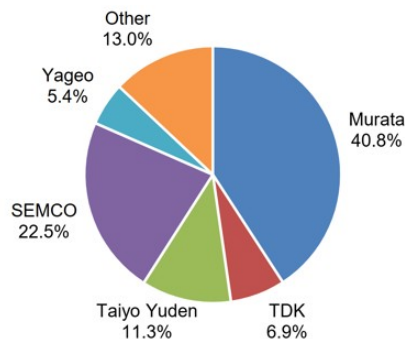
Cutting across all three is embedded MLCC, integrating passives into the substrate to shorten power paths and protect power integrity. This is where SEMCO's two core divisions stop being separate businesses, and it is the foundation of the platform argument.

Exhibit 1: MLCC market share



Source: Company data, Morgan Stanley Research

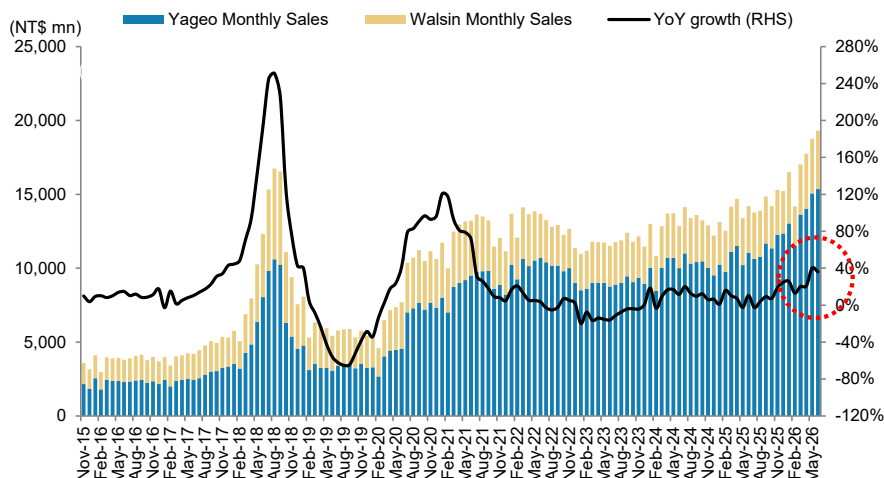
Exhibit 2: MLCC market share (CY25)



Source: Company data, Morgan Stanley Research

Exhibit 3:

Taiwan, monthly MLCC sales – cycle edging up with June +36% YoY



Source: Company data, Morgan Stanley Research

ABF – pricing up-cycle is accelerating

Where we are in the cycle: The substrate pricing cycle is proving stronger and earlier than expected, and we are still in the early innings of the up-cycle. [Our bottom-up ABF substrate supply-demand model \(updated in July\)](#) now points to 25% undersupply by 2030 (vs. ~22% previously). The end-market composition behind that gap has shifted fundamentally. PCs accounted for ~70% of global ABF substrate market value in 2015, fell to ~23% by 2025, and we estimate that they will drop below 10% by 2030. Over the same period, servers, AI GPUs, AI ASICs and networking have gone from around 10% to ~60%, and we expect them to exceed 80% of market value by 2030. As AI infrastructure deployment accelerates, we expect that demand to drive a meaningful acceleration in ABF substrate market growth.

Any new capacity expansion plans will need at least two years to bring online: Any meaningful expansion announced from here will therefore affect supply/demand dynamics only from CY29 onward. For the next two years, our focus in analyzing this area is on changes to end demand. Even within an existing footprint, an FC-BGA line build takes more than 12 months to procure, install, and qualify — a shorter clock than for a greenfield site, but still longer than the demand revisions now coming through.

Pricing is accelerating, driven by supply/demand imbalance and reinforced by raw material cost inflation: Our Greater China Tech team estimates that ABF substrate pricing will rise 20-25% y/y in CY26 and 25%+ y/y in CY27, driven mainly by the ABF supply/demand imbalance. With the imbalance continuing to widen in CY28 and beyond, we assume that pricing will move higher again in CY28, in the range of 25–40% y/y depending on the customer.

Recent cost moves are an input into that trajectory. Ajinomoto, which supplies the majority of ABF film from two plants in Japan, has raised prices for 3Q26, alongside copper-clad laminate increases from Japanese suppliers. [We estimate that a 30% film increase implies a mid-single-digit increase in overall substrate pricing — ~5.9% for PC](#)

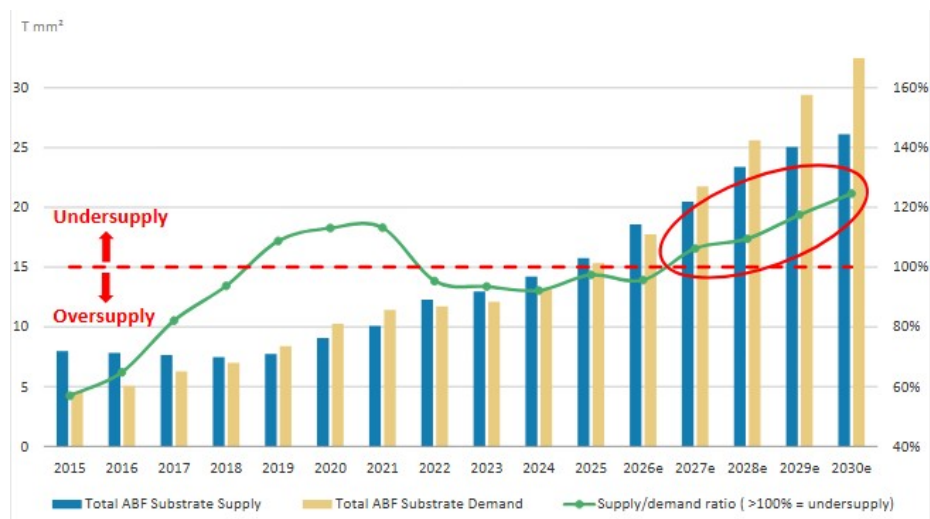
CPU and ~3.6% for AI GPU/ASIC — passed through in full, particularly into AI end markets.

What matters is less the size of any single increase than whether it sticks: a supply chain that absorbs successive raw material increases without demand destruction has real end demand behind it.

SEMCO substrates now a growth engine: Package Solution grew faster than any other division in 2Q26, and the composition of that growth matters more than the rate. A new FC-BGA product for a new North American big-tech account's AI data center networking platform entered supply during the quarter, with further mass production of new products scheduled through 2H26.

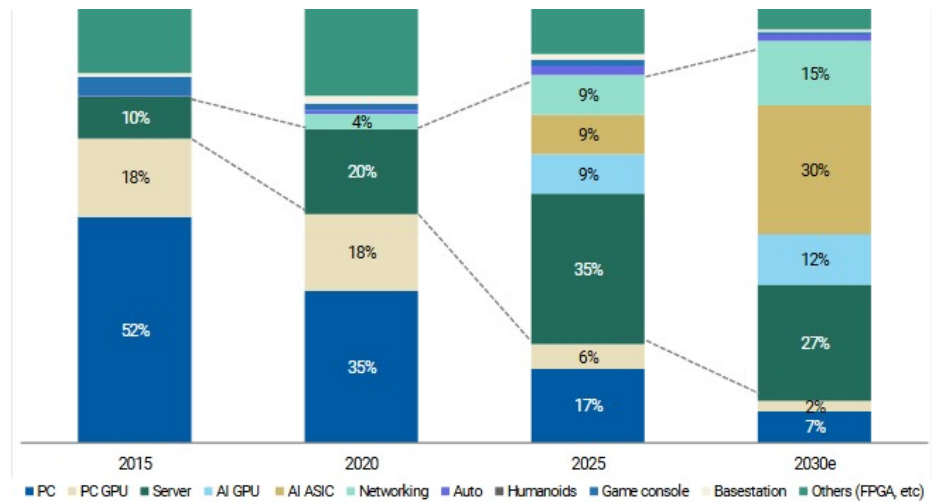
Management is in long-term supply discussions — explicitly including customer investment support — with substantially all top-tier AI and data center semiconductor companies. Set against the two-year capacity lead times above, that is the most reliable demand signal available. SEMCO's share is rising in ASIC and networking, where incremental demand is accelerating fastest, and the industry shift toward embedding passive components into the substrate plays directly to its integrated MLCC and substrate capability.

Exhibit 4: Expecting ABF substrate undersupply gap to widen by 2030 vs. our prior estimates



Source: Morgan Stanley Research (e) estimates.

Exhibit 5: PC-related ABF demand is seen declining from ~70% in 2015 to <10% by 2030, while server, AI GPU, AI ASIC, and networking-related ABF demand should rise from ~10% in 2015 to 80%+ by 2030



Source: Morgan Stanley Research (e) estimates.

Changes to Earnings Estimates and Scenario Values

We reflect 2Q26 actuals, the latest management guidance, and our industry outlook in our model. We trim our 2026 EPS forecast 5%, mainly to factor in softer optics business amid consumer weakness, which more than offsets better substrate and components business. Our 2027e and 2028e EPS rise 2% each, driven by strength in AI server substrates and high-speed networking. We kept our already bullish MLCC pricing hike assumptions unchanged but see potential increases as possible if price hikes extend into direct sales customers.

Our residual income-based target price rises slightly, to W2,620,000 from W2,560,000, implying 113% upside from here and 13x 2027e P/B.

We keep our bull case value unchanged at W3mn (15x 2027e P/B). We reduce our bear case value to W1.35mn, assuming softer optics business amid prolonged consumer weakness, which is higher than the current share price given recent heightened volatility. This reflects 7x 2027e P/B.

Exhibit 6: Estimate revisions

(W bn)	FY26E			FY27E			FY28E		
	Previous	Revised	Change	Previous	Revised	Change	Previous	Revised	Change
Sales	14,772	14,875	1%	22,770	23,316	2%	31,533	32,325	3%
Optics	4,009	3,924	-2%	4,113	4,295	4%	4,039	4,243	5%
Substrate	2,976	3,159	6%	3,962	4,286	8%	5,838	6,330	8%
Components (MLCC)	7,787	7,792	0%	14,695	14,735	0%	21,657	21,752	0%
Operating Profit	2,317	2,340	1%	5,586	5,703	2%	8,162	8,361	2%
Optics	191	165	-13%	192	201	4%	219	230	5%
Substrate	478	510	7%	854	943	10%	1,430	1,578	10%
Components (MLCC)	1,648	1,665	1%	4,540	4,560	0%	6,514	6,552	1%
OP Margin	15.7%	15.7%	0.0pp	24.5%	24.5%	-0.1pp	25.9%	25.9%	0.0pp
Optics	4.8%	4.2%	-0.6pp	4.7%	4.7%	0.0pp	5.4%	5.4%	0.0pp
Substrate	16.1%	16.2%	0.1pp	21.6%	22.0%	0.4pp	24.5%	24.9%	0.4pp
Components (MLCC)	21.2%	21.4%	0.2pp	30.9%	30.9%	0.0pp	30.1%	30.1%	0.0pp
Net Profit	1,863	1,768	-5%	4,389	4,479	2%	6,348	6,502	2%
EPS for consensus	23,555	22,407	-5%	55,477	56,728	2%	78,349	80,243	2%

Source: Company Reports, Morgan Stanley Research estimates

Exhibit 7: Residual Income Model

RIM												
Fiscal period	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E	FY35E	FY36E	Terminal value
Forecast year	0	1	2	3	4	5	6	7	8	9	10	
Total Shareholder Equity	-	15,327	21,574	28,512	38,012	49,016	61,954	77,851	95,884	115,342	137,055	143,908
Residual Income		3,713	4,657	6,028	8,167	9,143	10,504	12,799	14,211	14,977	16,695	15,735
Core Net Profit		4,479	6,502	8,532	11,493	13,494	16,052	19,789	22,898	25,539	29,315	30,781
ROE		58%	35%	34%	35%	31%	29%	28%	26%	24%	23%	22%
Discount period	0.00	1.00	2.00	3.00	4.00	5.00	6.00	7.00	8.00	9.00	10.00	
Discount factor	1.00	0.91	0.83	0.75	0.68	0.62	0.56	0.51	0.47	0.42	0.39	0.39
PV of Equity Capital	0.0	3,375	3,849	4,529	5,578	5,677	5,929	6,568	6,630	6,352	6,437	6,066
Beginning Equity Capital	9,471											
PV of Equity Capital	60,990											
PV of Continuing Value	127,395											
Total Equity Value	197,856											
FD shares outstanding ('000)	75,547											
Per share value	2,620,000											

Source: Company Reports, Morgan Stanley Research estimates

Financial Summary

Exhibit 8: Financial Summary

Income Statement					
(W bn)	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	10,294	11,314	14,875	23,316	32,325
Gross Profit	1,959	2,277	4,501	11,407	16,721
SG&A	-1,224	-1,364	-2,232	-5,703	-8,361
EBITDA	1,575	1,825	3,625	7,113	10,045
Operating profit/loss	735	913	2,340	5,703	8,361
Financial Income	-1	12	22	190	195
Pretax profit	797	896	2,290	5,894	8,555
Net Profit	703	726	1,768	4,479	6,502
Margins					
Gross Margin	19.0%	20.1%	30.3%	48.9%	51.7%
EBITDA Margin	15.3%	16.1%	24.4%	30.5%	31.1%
Operating Margin	7.1%	8.1%	15.7%	24.5%	25.9%
Net Income	6.8%	6.4%	11.9%	19.2%	20.1%
Growth Rates					
Sales		9.9%	31.5%	56.7%	38.6%
EBITDA		15.8%	98.6%	96.2%	41.2%
Operating Income		24.3%	156.2%	143.7%	46.6%
Net Income		3.3%	143.3%	153.4%	45.2%

Balance Sheet					
(W bn)	FY24A	FY25A	FY26E	FY27E	FY28E
Cash & Cash Equivalents	2,013	4,377	3,412	3,171	4,337
Trade and other receivables	1,492	1,577	2,368	4,043	5,376
Inventory	2,251	2,171	2,733	4,137	5,250
Other current assets	136	141	141	141	141
Current Assets	5,892	8,265	8,653	11,492	15,103
Tangible Assets	5,933	5,936	6,753	7,613	9,243
Intangible Assets	146	144	164	185	225
Other non-current assets	435	370	370	370	370
Total Assets	12,792	15,307	17,054	22,189	29,523
Trade and other payables	1,212	2,749	3,110	4,049	5,209
Short term Borrowings	1,580	1,931	1,727	1,657	1,584
Other current liabilities	53	82	82	82	82
Current Liabilities	3,057	4,981	5,138	6,006	7,094
Borrowings	0	56	56	56	56
Long-term other payables	84	127	127	127	127
Other Nont-current liabilities	634	656	656	656	656
Total Liabilities	3,777	5,836	5,993	6,861	7,949
Capital Stock	388	388	388	388	388
Retained Earnings	6,490	6,871	8,387	12,459	18,266
Total Shareholders' Equity	9,016	9,471	11,061	15,327	21,574
Total Liabilities & SE	12,792	15,307	17,054	22,188	29,523
Net Debt	1,147	(403)	155	255	(1,055)

Cash Flow Statement					
(W bn)	FY24A	FY25A	FY26E	FY27E	FY28E
Net Income (Loss)	703	726	1,768	4,479	6,502
Add: Depreciation & Amortization	840	912	1,285	1,410	1,685
Less: Changes in Working Capital	319	2,094	(992)	(2,142)	(1,285)
Less: Net tax expense	(601)	(201)	(523)	(1,414)	(2,053)
Less: Net interest expense	383	84	(204)	(70)	(72)
Cash flows from operating activities	1,430	3,360	1,334	2,263	4,776
Acquisition of PP&E	(772)	(1,022)	(2,121)	(2,291)	(3,355)
Other Operating cashflows	(215)	(254)	0	0	0
Cash flows from investing activities	(806)	(1,032)	(2,121)	(2,291)	(3,355)
Changes in LT Borrowings	8	0	0	0	0
Changes in Short term Borrowing	152	555	0	0	0
Dividend Payout	0	0	0	0	0
Other Investing Cashflows	(381)	(199)	0	0	0
Cash flows from Financing activities	(309)	41	(178)	(213)	(256)
Cash and cash equivalents - closing	2,013	4,377	3,412	3,171	4,337
Increase(decrease) in cash & cash equivalents	315	2,369	(965)	(241)	1,165
FX impact	29	(5)	0	0	0

Ratio Analysis					
(W bn)	FY24A	FY25A	FY26E	FY27E	FY28E
ROE (AOY)	8.0%	7.5%	16.5%	32.5%	32.9%
ROE (EOY)	7.5%	7.3%	15.3%	28.0%	28.1%
ROA	5.6%	4.9%	10.5%	21.8%	23.4%
ROIC (AOY)	5.6%	6.4%	13.8%	25.3%	27.7%
Asset Turnover	106.9	164.2	140.1	118.2	103.7
Days sales outstanding	0.0	0.0	0.0	0.0	0.0
Days inventory outstanding	53.0	50.9	58.1	63.3	60.9
Days payable outstanding	86.2	76.2	79.1	85.7	80.2
Current Ratio	1.9	1.7	1.7	1.9	2.1
Debt to Equity	41.9%	61.6%	54.2%	44.8%	36.8%
Net Debt to Equity	12.7%	-4.3%	1.4%	1.7%	-4.9%
EPS (MW)	8,990	9,196	22,407	56,728	80,243
BVPS (MW)	116,340	122,021	142,078	195,986	272,845
DPS	1,800	2,350	2,350	2,820	3,384
EBITDA	(132)	(164)	(523)	(1,414)	(2,053)
P/E	17	26	19	7	5
P/BV	1.3	2.0	2.9	2.1	1.5
EV/EBITDA	(96)	(109)	(61)	(22)	(15)
EV/Sales	1.2	1.6	2.1	1.4	0.9
Dividend Yield (%)	1	1	1	1	1
FCF	690	2,525	(215)	1,197	3,279
Share Price (KRW)	153,200	241,000	417,000	417,000	417,000
Shares Outstanding (000 AOY)	75,547	75,547	75,547	75,547	75,547

Source: Company Reports, FactSet, Morgan Stanley Research estimates

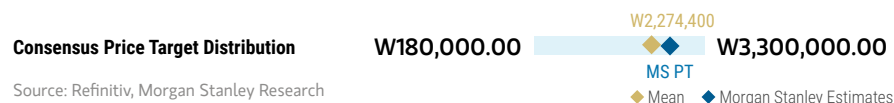
Risk Reward – Samsung Electro-Mechanics (009150.KS)

Top Pick

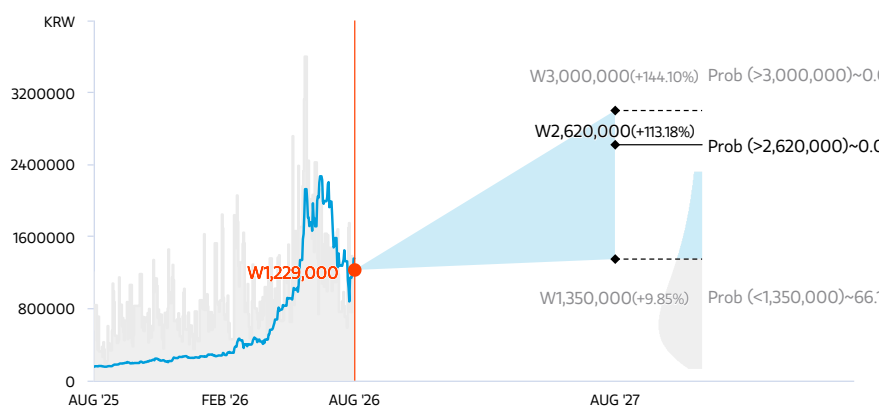
Dual AI opportunity – ABF and MLCC

PRICE TARGET W2,620,000

Base case, residual income valuation model. We apply a 10% cost of equity (beta 1.0, equity risk premium of 6.5%, and risk-free rate of 3.5%) and a 5% terminal growth rate. Our base year is 2026 and our forecast period is 2026-36.



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

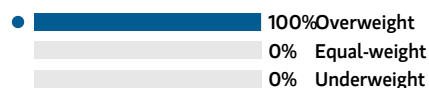


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 6 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- We see long-term improvement in SEMCO's operating profile – multi-layer core ABF capacity sold out from ASIC customers and accelerating AI penetration in MLCC, driving substantial content from rising complexity.
- With the AI computing opportunity and the prospect of a cyclical recovery from 2H26, earnings expectations appear to be lagging significantly based on the current outlook.
- We think the share price will look to discount accelerating EPS estimate revisions.
- Our price target implies 2027e P/B of 13x.

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

W3,000,000

15x 2027e P/B

ABF opportunities from major US CSPs drive meaningful content growth, and we estimate future ASIC content and volume growth will continue to outpace. Customer diversification into non-mobile companies also lowers earnings volatility and improves profitability. Our bull case implies a 2028e P/B at 15x. We believe this premium is supported by what we view as an unprecedented super-cycle in the underlying industry dynamics.

BASE CASE

W2,620,000

13x 2027e P/B

We see a number of catalysts ahead for SEMCO, including a large ABF opportunity in ASIC chip wins, accelerating MLCC growth and FCF inflection. Our long-term conviction in custom silicon opportunities via ABF substrates has grown substantially.

BEAR CASE

W1,350,000

7x 2027e P/B

We reflect slower content growth for MLCC and substrates amid competition and China's localization. But AI exposure will structurally increase SEMCO's MLCC and ABF ASP, product mix, and margin with commodity suppliers not easy to penetrate.

Risk Reward – Samsung Electro-Mechanics (009150.KS)

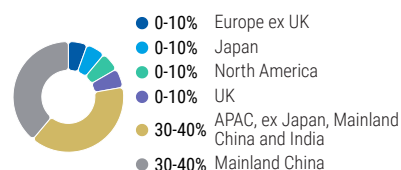
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Revenue Growth (%)	9.9	31.5	56.7	38.6
OPM (%)	8.1	15.7	24.5	25.9
CAPEX (%)	8.7	14.3	9.8	10.4

INVESTMENT DRIVERS

- AI servers, high-speed networking, Auto 2.0, and smartphone content growth
- Customer diversification away from Samsung Electronics, targeting major CSPs
- MLCC pricing/margin trend

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Price hikes driven by MLCC shortage
- Better-than-expected smartphone demand
- Higher MLCC margin from better yield and product mix
- Strong tailwind from China's consumption-friendly policies

RISKS TO DOWNSIDE

- Significant pullback in Samsung's mobile flagship product cycle and SEMCO's lower market share
- Execution risk in penetrating Chinese smartphone customers
- Consumer demand headwinds in 2026

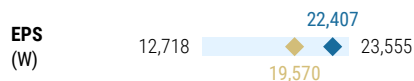
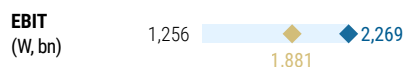
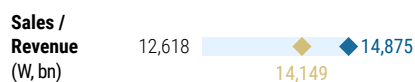
OWNERSHIP POSITIONING

Inst. Owners, % Active 79%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Valuation Methodology and Risks

Samsung Electronics (005930.KS)

Our base case price target is derived from our residual income valuation model. At our price target, the 2027e P/B multiple would be c.2x, in line with the stock's commodity cycle peak of 2.0x. We assume an 11.5% cost of equity, based on a beta of 1.0, and our terminal growth rate assumption is 3%.

Risks to Upside

- New technological developments, especially in memory and foldable displays
- Longer-lasting memory up-cycle from AI and hyperscale data center growth

Risks to Downside

- Product and memory cycle, including Apple and new Chinese smartphone competition
- Earnings growth concentration in semiconductors

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of July 31, 2026)

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For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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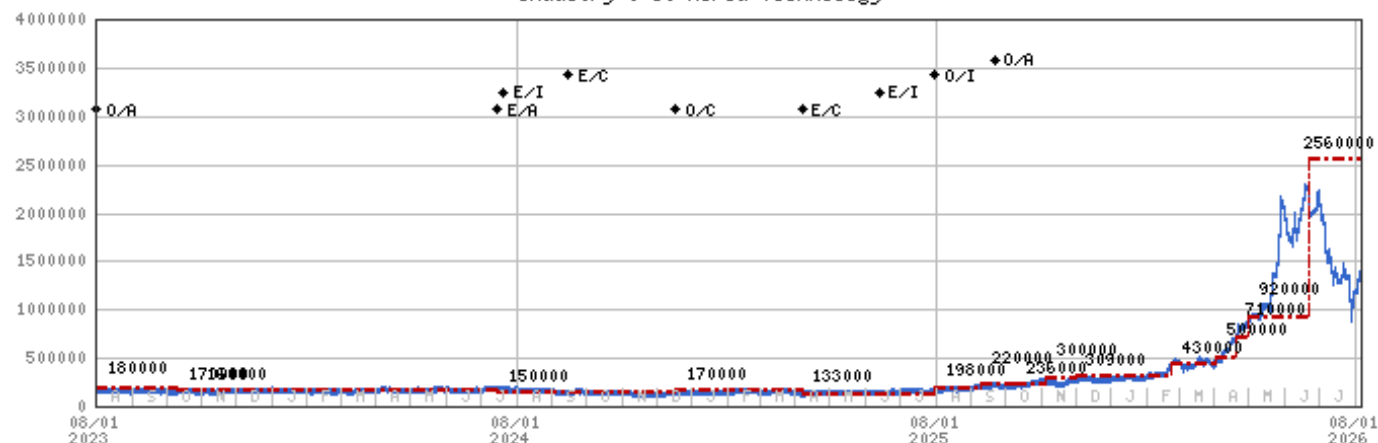
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Stock Price, Price Target and Rating History (See Rating Definitions)

Samsung Electro-Mechanics (009150.KS) - As of 08/06/26 GMT in KRW
Industry : S. Korea Technology



Stock Rating History: 8/1/21 : E/I; 8/12/21 : E/C; 6/1/22 : U/C; 10/4/22 : U/A; 11/9/22 : O/A; 7/15/24 : E/A; 7/21/24 : E/I; 9/15/24 : E/C; 12/18/24 : O/C; 4/7/25 : E/C; 6/13/25 : E/I; 7/31/25 : O/I; 9/21/25 : O/A

Price Target History: 5/12/21 : 180000; 10/19/21 : 170000; 10/27/21 : 160000; 1/24/22 : 180000; 3/18/22 : 170000; 6/1/22 : 140000; 11/9/22 : 180000; 10/11/23 : 170000; 10/27/23 : 160000; 7/15/24 : 150000; 12/18/24 : 170000; 4/7/25 : 133000; 7/31/25 : 198000; 9/10/25 : 220000; 10/10/25 : 236000; 11/5/25 : 300000; 12/1/25 : 309000; 2/23/26 : 430000; 4/2/26 : 500000; 4/19/26 : 710000; 5/1/26 : 920000; 6/22/26 : 256000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

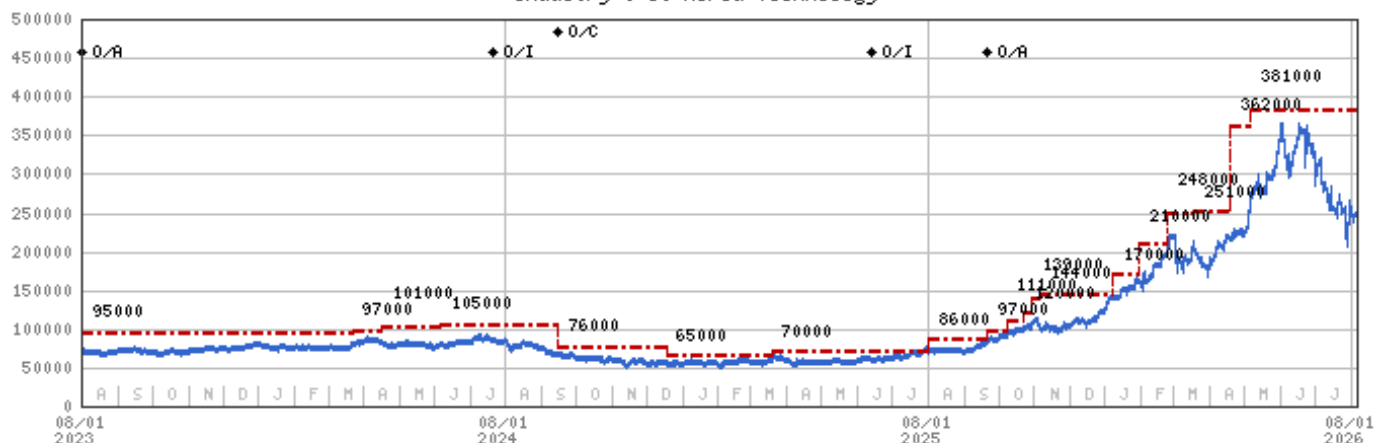
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Samsung Electronics (005930.KS) - As of 08/06/26 GMT in KRW
Industry : S. Korea Technology



Stock Rating History: 8/1/21 : O/I; 8/12/21 : O/C; 10/4/22 : O/A; 7/21/24 : O/I; 9/15/24 : O/C; 6/13/25 : O/I; 9/21/25 : O/A

Price Target History: 6/8/21 : 98000; 8/12/21 : 89000; 9/15/21 : 95000; 12/3/21 : 97000; 3/18/22 : 95000; 4/28/22 : 85000; 6/10/22 : 80000; 7/5/22 : 75000; 7/22/22 : 70000; 9/17/22 : 68000; 3/21/23 : 70000; 5/30/23 : 90000; 7/7/23 : 95000; 3/22/24 : 97000; 4/16/24 : 101000; 6/6/24 : 105000; 9/15/24 : 76000; 12/18/24 : 65000; 3/19/25 : 70000; 8/1/25 : 86000; 9/21/25 : 97000; 10/8/25 : 111000; 10/23/25 : 120000; 10/30/25 : 139000; 11/5/25 : 144000; 1/8/26 : 170000; 1/30/26 : 210000; 2/24/26 : 248000; 3/18/26 : 251000; 4/19/26 : 362000; 5/6/26 : 381000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: S. Korea Technology

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/06/2026)
Ryan Kim		
Fadu Inc (440110.KQ)	O (09/21/2025)	W57,900
Hanmi Semiconductor Co. Ltd. (042700.KS)	E (07/22/2026)	W200,500
HD Hyundai Electric Co Ltd (267260.KS)	O (03/25/2025)	W761,000
Isu Petasys Co. Ltd. (007660.KS)	O (02/03/2025)	W83,100
Leeno Industrial Inc. (058470.KQ)	O (04/03/2025)	W66,900
Lotte Energy Materials Corp (020150.KS)	U (04/03/2025)	W31,250
LS Electric (010120.KS)	O (01/22/2026)	W202,500
SK Square Co Ltd. (402340.KS)	O (05/06/2026)	W970,000
Wonik IPS Co Ltd (240810.KQ)	O (08/08/2025)	W92,600
Shawn Kim		
LG Display (034220.KS)	E (06/11/2025)	W9,560
LG Electronics (066570.KS)	E (04/07/2025)	W175,200
LG Innotek (011070.KS)	E (03/12/2025)	W554,000
Samsung Electro-Mechanics (009150.KS)	O (07/31/2025)	W1,229,000
Samsung Electronics (005935.KS)	O (11/18/2019)	W172,100
Samsung Electronics (005930.KS)	O (11/18/2019)	W230,500
SK hynix (000660.KS)	O (09/21/2025)	W1,495,000

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.